argenx (ARGX)

Long the commercial franchise after the pipeline reset

Public-data investment research pitch

CURRENT CALL

LONG

at $825.03 | PT $1,006

Why: the October selloff reset expectations while VYVGART is still scaling rapidly, margins are expanding, and the remaining pipeline provides multiple independent upside paths.

Key checkpoint

Q3 2026 results | 22 Oct 2026

Catherina Haast | Sector Data Analyst interview project

Sources: argenx releases; Yahoo Finance reference close. Educational use only.

Investment snapshot

The selloff removed Sjogren's value, but the commercial franchise and remaining pipeline support a long setup.

Q2 2026 SALES

$1.516bn

+60% YoY | +17% QoQ

H1 OPERATING PROFIT

$887m

Q2 operating profit: $494m

JUNE LIQUIDITY

$5.2bn

cash + current financial assets

OCT 9 CLOSE

$825.03

~$51.9bn market cap (secondary)

What is attractive

- VYVGART has scaled rapidly and is now highly profitable.
- Positive myositis Phase 3 data supports additional efgartigimod expansion.
- FB102 celiac Phase 2 success preserves non-FcRn pipeline optionality.

Why the selloff creates an entry point

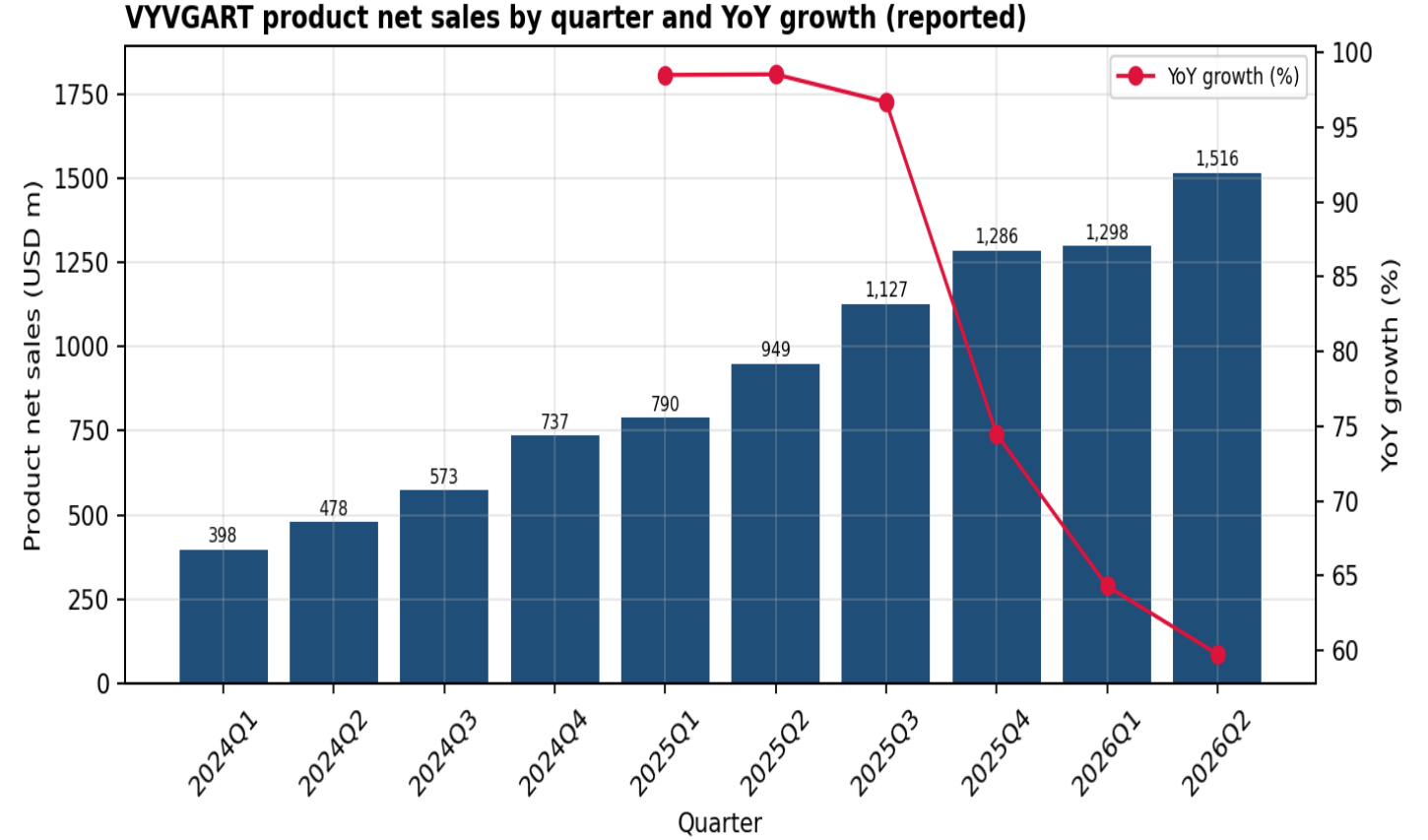
- The current price is ~20.5x the revised base FY2027 EPS, below the multiple used for the target.
- Base case assumes 25% FY2027 growth, still a major deceleration from Q2's +60% YoY pace.
- FB102 celiac success and upcoming MMN data provide upside without relying on Sjogren's.

Decision: LONG | $1,006 base target

Sources: argenx H1/Q2 2026 release (23 Jul 2026); Yahoo Finance ARGX quote (9 Oct 2026).

Commercial execution is still the core thesis

Sales have compounded rapidly; the investment question is how much deceleration is already priced in.



Source: argenx quarterly releases (SEC 6-K filings); own calculations. 100% of product net sales are VYVGART franchise.

Read-through

Q2 reacceleration

+17% QoQ after a nearly flat Q1. The absolute dollar step-up was $218m.

Operating leverage

Q2 operating profit reached $494m, implying ~32.6% of product sales.

What I need next

Q3 must show that expansion is durable enough to offset slowing percentage growth.

Source: argenx quarterly releases / SEC filings; calculations in outputs/tables/growth_table.csv.

8 October was a pipeline reset, not a single-signal day

Two clinical releases arrived at the same time, so the price reaction cannot be attributed cleanly to one headline.

NEGATIVE

UNITY / Sjogren's

Phase 3 discontinued for futility after the independent monitoring committee concluded the primary endpoint could not be met.

Model treatment: zero explicit Sjogren's revenue.

POSITIVE

FB102 / celiac

Phase 2 met the primary endpoint (p=0.0176). argenx plans to advance FB102 into Phase 3 development.

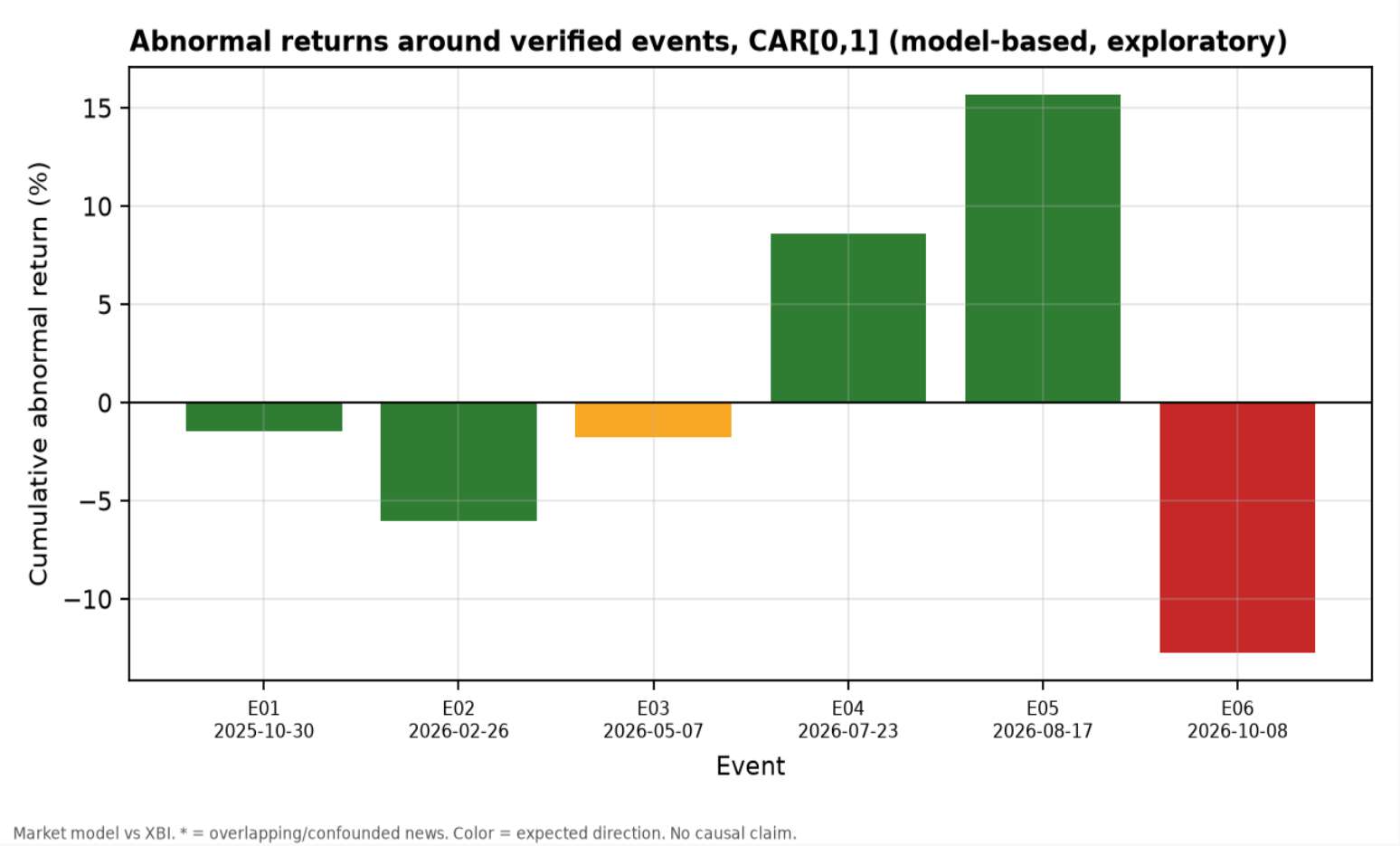
Model treatment: optionality, but no discrete revenue yet.

Investment read-through: lower confidence in broad efgartigimod expansion, but not a break in the approved franchise.

Primary sources: argenx UNITY update and FB102 celiac Phase 2 release, both 8 Oct 2026.

The stock reprices hard around clinical information

A small event study shows large abnormal moves, but the sample is exploratory and several events are confounded.



Market model vs XBI. * = overlapping/confounded news. Color = expected direction. No causal claim.

Two useful anchors

+15.7%

CAR[0,1] around positive ALKIVIA myositis data (17 Aug).

-12.7%

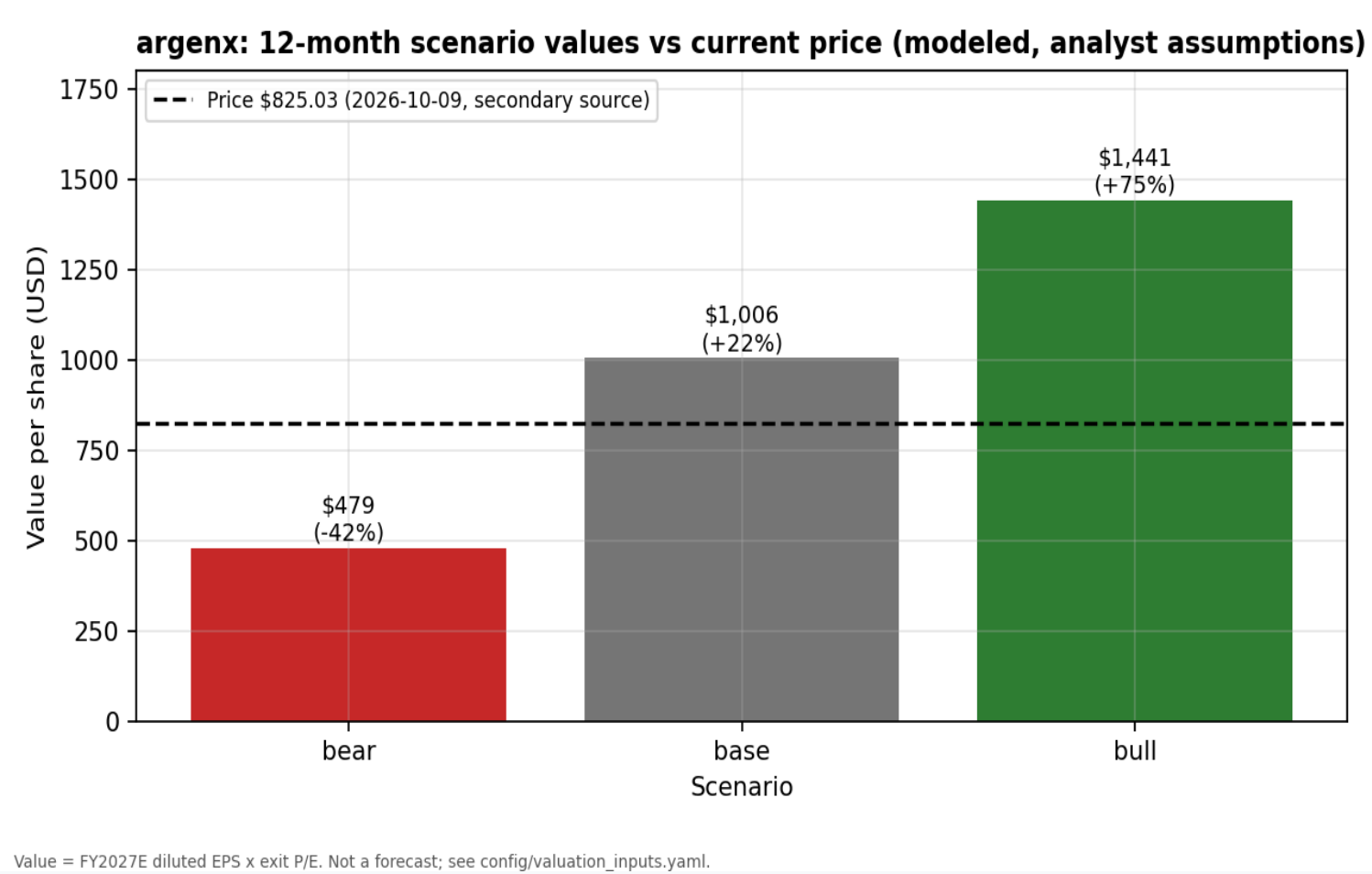
CAR[0,1] around the 8 Oct mixed clinical day. Volume was ~8.3x baseline on day 0.

Use: risk calibration, not causal inference.

Method: market model vs XBI, 100-day estimation windows. See src/event_study.py and docs/limitations.md.

Base case supports a 22% upside target

The long does not require Sjogren's revenue: it rests on commercial execution, operating leverage, and a defensible premium multiple.



Value = FY2027E diluted EPS x exit P/E. Not a forecast; see config/valuation_inputs.yaml.

Scenario drivers

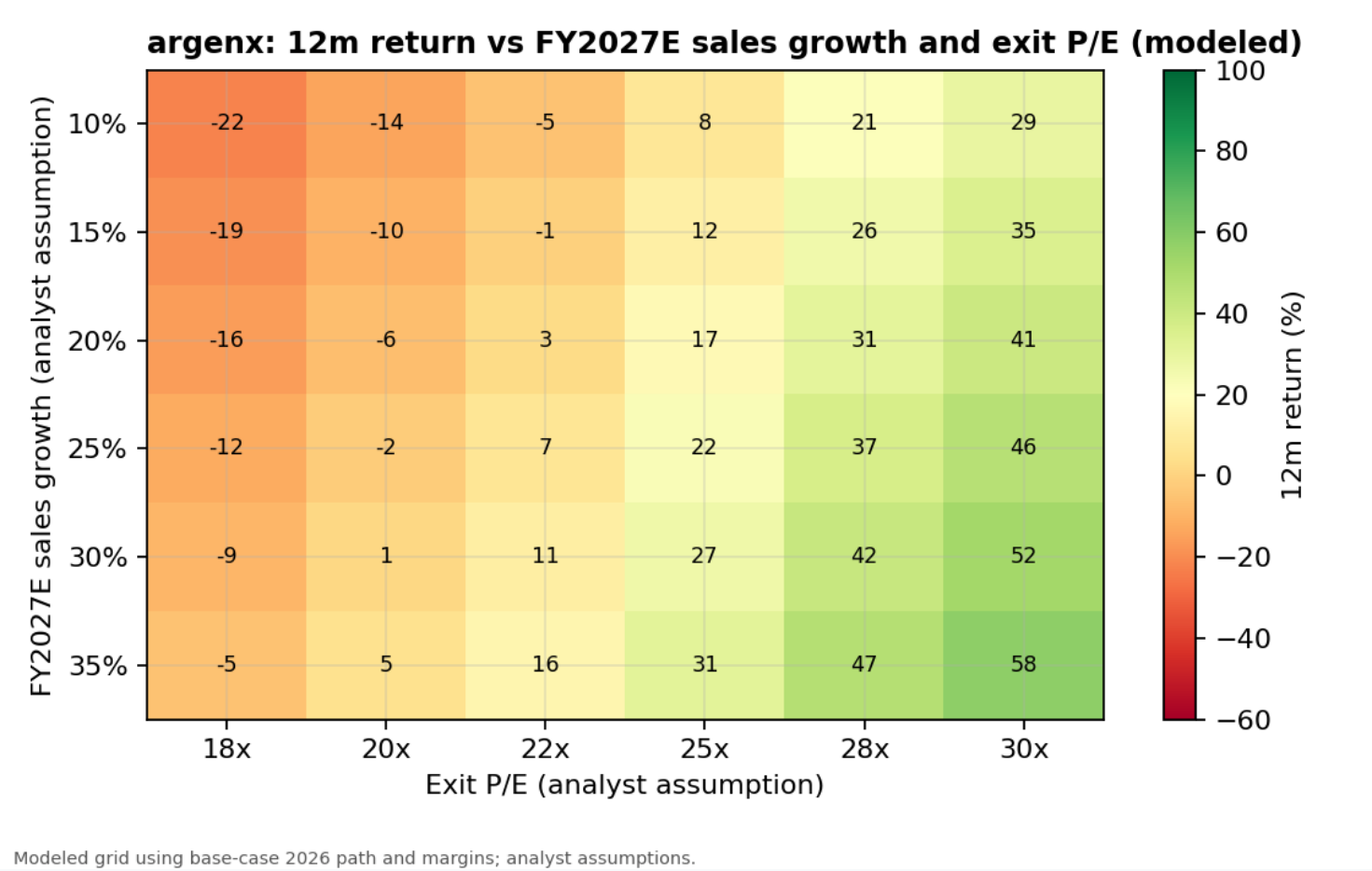
BEAR	12% FY27 growth | 30% margin | 18x P/E
BASE	25% FY27 growth | 38% margin | 25x P/E
BULL	35% FY27 growth | 40% margin | 30x P/E

Base: $40.23 FY27 EPS x 25x = $1,006/share (+22%).

Model: config/valuation_inputs.yaml; outputs/tables/valuation_scenarios.csv. Price $825.03 from Yahoo Finance.

The long is a commercial-growth plus multiple-durability call

At $825, the market pays ~20.5x base FY2027 EPS. The thesis works if growth remains strong enough to sustain a ~25x multiple.



Modeled grid using base-case 2026 path and margins; analyst assumptions.

Reverse valuation

10% annual return
25x exit P/E

$8.9bn

2030 product sales required

~9.4%

revenue CAGR from FY2026E base

Reverse valuation assumes 40% 2030 operating margin and base tax/financial-income assumptions.

Long thesis: catalysts, checkpoint, and invalidation

The recommendation is explicit, but it is tied to observable commercial and clinical evidence.

WHY LONG NOW

- VYVGART remains the dominant earnings engine after the Sjogren's reset
- 25% FY27 growth is a meaningful haircut from current reported growth
- FB102 and empasiprubart add upside not required in the base case

NEXT CHECKPOINT

22 OCT

Q3 2026 RESULTS

Watch: sales growth, operating leverage, post-Forte cash, and updated clinical timing.

THESIS BREAKERS

- VYVGART growth decelerates faster than the market expects
- Margins weaken despite scale or cash use is materially worse than expected
- Additional late-stage failures undermine the premium pipeline multiple

Current call: LONG at $825.03 | 12m PT $1,006 (+22%)

Conclusion based on public information through 9 Oct 2026. Q3 results are the next major thesis check.